ELEPHAS INVESTMENT

Elephas Alphas Fund

2024 Q4 Investment Letter

Performance

	Aug	Sep	Oct	Nov	Dec	ITD
Elephas Alphas Fund*	**-3.38%**	**40.27%**	**-4.03%**	**+1.18%**	**-0.59%**	**30.83%**
MSCI China all Index	-2.62%	23.19%	-5.27%	-3.23%	1.50%	11.62%

**Class A net return, since inception July 16th 2024*

The Fund posted a -3.4% return for the quarter, bringing its cumulative return since inception to 30.8%. This compares favorably to the MSCI China All Index, which returned 11.6% over the same period.

	Aug	Sep	Oct	Nov	Dec	ITD
Fundamental book	-2.17%	20.91%	-4.43%	0.87%	-1.10%	12.78%
Systematic book	-1.21%	19.36%	0.40%	0.31%	0.51%	18.05%
Elephas Alphas	**-3.38%**	**40.27%**	**-4.03%**	**+1.18%**	**-0.59%**	**30.83%**

Portfolio Review

Systematic book contributed positively (+1.2%) during the quarter while fundamental book experienced a drawdown (-4.7%) as market retreated. Our systematic models are designed to identify price-volume patterns over shorter time frames (daily to weekly), an area where discretionary managers typically face challenges. In contrast, our fundamental book takes a longer-term approach (1 year+), focusing on high-quality businesses led by top-tier management teams with founder mentality — an investment horizon not typically suited for systematic models.

During the quarter, concerns arose over whether the magnitude of the stimulus package was sufficient to revive the economy, particularly on the fiscal side. However, historical patterns since 2008 show a consistent trend: initial measures are designed with escalation capacity, followed by incremental reinforcements until key economic indicators stabilize. This approach reflects not only technocratic calculations but also the system's ability to iterate and adjust policy as needed. More policy measures are expected in the coming months, pending trade and tariff negotiation with the new US administration.

Market Outlook

The recent unveiling of China's DeepSeek next-generation AI model has disrupted the global AI landscape, challenging assumptions about technological leadership. DeepSeek's

groundbreaking efficiency in contextual understanding and task-specific optimization—delivering state-of-the-art performance at only 3-5% of the conventional cost—has propelled the app to become the fastest-growing in the App Store, amassing 15 million daily active users in just 18 days.

In our last quarterly letter, we highlighted the accelerating global competitiveness of Chinese biotech innovators. Today, we observe this momentum extending decisively into artificial intelligence, exemplified by DeepSeek's emergence as a disruptor in the global AI race. Just as companies like Akeso and Biokin are reshaping oncology treatment paradigms through cost-efficient R&D, clinical agility, and novel drug targets, DeepSeek's advancements underscore China's capacity to cultivate world-class technical expertise. By delivering cutting-edge AI solutions without reliance on foreign talent or resources, DeepSeek solidifies China's position as a self-sustaining innovation ecosystem with its vast STEM talent pool, regardless of the self-defeating efforts of the US to block the latest GPUs and other leading edge semiconductor equipment.

This is perhaps the most important event in the AI space since the launch of ChatGPT, and has important micro and macro implications. If the same model can be developed at a fraction of the cost with equal or better performance, would the entire AI industry be any different from solar panels or electric vehicles with accelerating usage but massive price deflations? Some voices within the Washington establishment have been quick to brand DeepSeek as a case of trade theft but this accusation seems contradictory when one considers that DeepSeek is fundamentally an open-source initiative which means anyone can access and copy its underlying code for free while models from OpenAI and Anthropic remain tightly guided.

The concentration of index weight and performance in the mega tech stocks in the last two years were grounded on the belief that these companies were huge beneficiaries of AI and this technology would be completely monopolized by US corporates. These companies relied on costly models powered by massive GPU clusters and data centers which cost billions to build, but DeepSeek demonstrated an alternative approach that moves beyond sheer computational force. Would the entire narrative of US exceptionalism with US market cap now at 65% of global stock market and the US dollar at a 40 year high be under threat? It is interesting to note that Nvidia, which singlehandedly contributed over 22% of S&P500 overall return in 2024, finished the last week in January firmly below its 200 day moving average, the first time since the launch of ChatGPT.

Conversely, the highly elevated Chinese equity risk premium is partly due to global investors perceiving that the country is losing its technological edge as most of the benefits from artificial intelligence development are expected to be reaped by U.S. technology companies. After the DeepSeek release, venture capitalists are now reportedly scrambling to back Chinese AI startups leveraging the open-sourced framework, while FAANG companies have quietly

formed internal task forces to reverse-engineer its novel training methodologies. Washington's national security initiative has now produced the exact opposite intended consequences—spurring China to ramp up its independent technological development with far greater urgency and success. In the coming months, as Chinese companies increasingly leverage AI tools to enhance efficiency and drive value creation, the emergence of this event should catalyze a decline in China's equity risk premium by reshaping global perceptions of China's technological resilience and innovation capacity.

We are extremely excited about the DeepSeek release as we feel this event further validates our optimistic outlook on the Chinese equity market. We look forward to sharing additional thoughts with you in the quarters to come.

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